

AMOUNT OF INSURANCE

Now that we have understood if we need life insurance or not, the next step is to figure out the amount of insurance coverage. We will determine it by a pretty simple and straightforward calculation i.e. 8-10 times of our current post-tax annual income plus major liabilities that need to be repaid.



**LIFE INSURANCE
COVERAGE**

=



**8-10 TIMES OF YOUR
CURRENT POST TAX
ANNUAL INCOME**

+



MAJOR LIABILITIES